IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH, CHENNAI

CA No/64 & 65/CAA/2018

Under section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation
Between
M/s. DYNAVISTA INDUSTRIES PRIVATE LIMITED
(CIN: U15142TN1996PTC036046)
(Transferor Company)
With
M/s. ECOF INDUSTRIES PRIVATE LIMITED
(CIN: U24246TN1995PTC031245)
(Transferee Company)
And
Their Respective Shareholders and its Creditors

Order delivered on: 10.07.2018

Coram:
K. Anantha Padmanabha Swamy, Member (Judicial)
S. Vijayaraghavan, Member (Technical)

For the Petitioners: Shri. R. Kannan, PCS

ORDER

Per: K. ANANTHA PADMANABHA SWAMY, MEMBER (J)

Under consideration are two Company Applications Nos. CA/64/CAA/2018 and CA/65/CAA/2018 which are filed in the matter of the Scheme of Amalgamation. The Applicant Companies, M/s. Dynavista Industries Private Limited (the Transferor Company) and M/s. ECOF Industries Private Limited (Transferee Company).

The Applicants/Transferor and Transferee Companies through this application has prayed for seeking directions for dispensing with the

convening, holding and conducting of the meeting of the equity shareholders and secured & unsecured creditors.

1. **M/s. Dynavista Industries Private Limited** (Transferor Company)

i) The Transferor Company viz., M/s. Dynavista Industries Private Limited has 4 (Four) equity shareholders. The list of equity shareholders is placed at page No.150 of the typed set of documents filed with the Application. The consent affidavits given by all the 4 (Four) equity shareholders are placed at pages 151 to 158 of the typed set filed with the Application, wherein it has been stated that they do support the Scheme and are consenting to dispense with convening, holding and conducting the meeting of equity shareholders. Since all the requirements under law have been fulfilled, the meeting of the equity shareholders of the Transferor Company is allowed to be dispensed with.

ii) There is one Secured Creditor in relation to the Transferor Company and Consent letter issued by Chief Manager, Canara Bank, Nungambakkam Branch, Chennai-600034 is placed at page 2 of additional documents submitted on 21.03.2018.

iii) There are 8 (Eight) unsecured Creditors in relation to the Transferor Company and the consent affidavits given by all the 8 unsecured Creditors stated that they do support the proposed Scheme of Amalgamation and their affidavits are placed at page Nos.3 to 9 of additional documents filed on 21.03.2018. The list of unsecured

Creditors are placed at pages 159 of the typed set filed with the Application. The Chartered Accountant Smt. Vardhini Kalyanaraman has issued a certificate that since then 98.54% of the creditors have been fully paid. Hence, the condition for obtaining the consent of unsecured creditors may be waived. Therefore, the meeting of the Secured and unsecured creditors is allowed to be dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

2. M/s. ECOF Industries Private Limited (Transferee Company)

i) The Transferee Company viz., M/s. ECOF Industries Pvt. Ltd. (Transferee Company) has 9 (Nine) equity shareholders. The list of equity shareholders is placed at page 150 and 151 of the typed set filed with the Application. The consent affidavits given by all the 9 (Nine) equity shareholders are placed at pages 152 to 169 of the typed set filed with the Application wherein it has been deposed that they do support the Scheme and consent to dispense with the convening, holding and conducting the meeting of equity shareholders. Since all the requirements under law have been fulfilled, the meeting of the equity shareholders of the Transferee Company is allowed to be dispensed with.

ii) There is one Secured Creditor in relation to the Transferee Company. The consent letter issued by the Secured Creditor viz. the Chief Manager, SME Branch, Adyar, Chennai-600 020 is placed at page 170 of the typed set filed with the Application.

iii) There are 7 (Seven) unsecured creditors in relation to the Transferee Company and the same is certified by Auditors. The list of unsecured creditors is provided in page No.171 and 172 of the typed set filed with this application. The Chartered Accountant Smt. Vardhini Kalyanaraman issued a certificate that since than 99.62% of the creditors have been fully paid subsequently, the condition for obtaining the consent of unsecured creditors may be waived. Therefore, the meeting of the Secured and unsecured creditors is allowed to be dispensed with under clause (9) of the Section 230 of the Companies Act, 2013.

3. Looking to the prayers made in the application by the Transferor and Transferee Companies in relation to the Scheme of Amalgamation, this Bench hereby directs in term of under clause (5) of the section 230 and under sub-section (3) of the Companies Act, 2013 issuance of notices to the Regional Director, Ministry of Corporate Affairs, ROC concerned, Income Tax Authorities, Official Liquidator and such other sectorial regulators or authorities, if necessary. In case the scheme is exempted under the Competition Act, 2002, an affidavit to this effect is to be given. Otherwise, notice to CCI may also be issued. Since all the Transferor and Transferee are Private Limited companies there is no need to issue notices to SEBI and to the Stock Exchanges. The authorities are directed to make objections/representations, if any, within 30 days from the date of the receipt of notice. In case no objection/representation is received within the stipulated time it shall be deemed that they do not have any objections.

4. In respect of the Transferor Company, the Registry is also directed to issue notice to the Official Liquidator, who in turn, may appoint a Chartered Accountant and submit a report with regard to the Transferee Company within four weeks from the date of receipt of this order.

5. The Transferor Company and Transferee Companies are directed to make separate publication of notices in newspapers one in English and the other in vernacular language, preferably in **News Today (English Today) and Malai Sudar (Tamil Edition)** having wide circulation in the State of Tamil Nadu, not less than 30 days before the next date of hearing of the petition. The Applicant Companies are directed to place the notice on their website, if any, and also place the same on the notice board at the registered office of the company. The Applicant Companies are also directed to send private notice to the authorities by way of speed post and file the proof of sending and effecting service of notices along with the paper publication by way of an affidavit before the next date of hearing. The Registry is also directed to display the notice on the notice board of the NCLT, Chennai.

6. The petition to be presented on or before 23.08.2018.

S. Vijayaraghavan
Member (Technical)

K. Anantha Padmanabha Swamy
Member (Judicial)

TJS/KNP